

25CHCV04223 25CHCV04223

County: los-angeles

Division: Civil Law and Motion

Department: F43

Hearing date: 2026-09-16

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF43%2C09%2F16%2F2026

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Case Number: 25CHCV04223 Hearing Date: September 16, 2026 Dept: F43

Dept. F43

Hearing Date: 09-16-26

Case # 25CHCV04223, Avakian v. Newrez,
LLC, et al.

Trial Date: None set.

DEMURRER

MOVING PARTIES: Defendants Newrez, LLC dba Shellpoint Mortgage
Servicing; Wilmington Savings Fund Society, FSB, Not Its Individual Capacity
But Solely As Owner Trustee for Verus Securitization Trust 2022-7; and VMC REO,
LLC

RESPONDING PARTY: Plaintiff Shooshig Susan Avakian

RELIEF REQUESTED

Order sustaining demurrer to the Second
Amended Complaint's First, Third, and Fourth Causes of Action.

RULING: Demurrer is overruled in part and sustained in
part without leave to amend as described below in Section A.

SUMMARY OF ACTION

On November 25, 2025, plaintiff Shooshig Susan Avakian (Plaintiff) filed this wrongful foreclosure action against defendants Newrez, LLC dba Shellpoint Mortgage Servicing (Newrez), Wilmington Savings Fund Society, FSB (Wilmington), VMC REO, LLC (VMC), and Prestige Default Services, LLC (Prestige). The matter concerns an alleged wrongful foreclosure on Property after Plaintiff defaulted on a mortgage loan.

The court previously sustained demurrers to the complaint and First Amended Complaint with leave to amend.

On June 30, 2026, Plaintiff filed a Second Amended Complaint (SAC), asserting (1) violation of Civ. Code, § 2923.7; (2) negligent misrepresentation; (3) wrongful foreclosure; (4) unfair business practices; and (5) cancellation of instrument and including additional factual allegations concerning the Homeowner's Bill of Rights, wrongful foreclosure, and the unfair business practices claims.

The court sustained defendant Prestige's demurrer to the Second and Fourth Causes of Action with leave to amend, overruled the demurrer to the Third Cause of Action, and granted the motion to strike with leave to amend.

On August 5, 2026, defendants Newrez, Wilmington, and VMC filed the instant demurrer to the SAC's First, Third, and Fourth Causes of Action. Plaintiff filed an opposition on September 2, 2026, and Defendants replied on September 9, 2026.

MEET AND CONFER

Before filing a demurrer, the parties must meet and confer "in person, by telephone, or by video conference." (Code Civ. Proc., § 430.41, subd. (a).) The moving party must file and serve a meet and confer declaration stating either: (1) the means by which the parties met and conferred, that the parties did not reach an agreement resolving the issues raised in the demurrer; or (2) that the party who filed the pleading subject to the demurrer failed to respond to the meet and confer request or failed to meet and confer in good faith. (Code Civ. Proc., §§ 430.41, subd. (a)(3).)

Counsel met and conferred by telephone on July 31, 2026, but did not reach an agreement. (Declaration of Neeru Jindal ¶¶ 4-5.) Thus, the “meet and confer” requirement is met.

SUMMARY OF ARGUMENTS

Defendants Newrez, Wilmington, and VMC (Defendants) assert Plaintiff has failed to cure the issues previously raised concerning the First, Third, and Fourth Causes of Action. The First Cause of Action (Civ. Code, § 2923.7) fails to plead a claim against Wilmington, who Plaintiff identifies as a beneficiary rather than a servicer, or a material statutory violation that caused a concrete and non-speculative injury. The Third Cause of Action for wrongful foreclosure does not plead facts showing the sale was void. Plaintiff relies on a speculative “no authority” theory which rests on the timing of a later-executed and later-recorded assignment to VMC. Finally, Plaintiff fails to allege an injury or wrongful conduct to support her UCL claim.

In opposition, plaintiff Shooshig Susan Avakian (Plaintiff) contends she adequately alleges an agency theory of liability against Wilmington, claiming that Newrez was a servicer interacting with Plaintiff, the borrower, on behalf of the beneficiary Wilmington. The Second Amended Complaint also includes six separate acts by Defendants which constitute material violations that caused Plaintiff to lose her home. Plaintiff notes that within five days of Plaintiff's loan application submission, Defendant was required to confirm receipt of the application and advise of the required deadlines and information needed for the application. (Citing Civ. Code, § 2924.10.) Defendants misconstrue Plaintiff's allegations. For the Second Cause of Action, Plaintiff's allegations demonstrate wrongful foreclosure because VMC was listed as the beneficiary at the time of the foreclosure sale even though VMC was not assigned the Deed of Trust until three weeks after the foreclosure sale. Based on this, VMC did not have authority under a power of sale, making the foreclosure sale and subsequent Trustee's Deed Upon Sale void. Nor is Plaintiff required to allege tender for a claim of damages under a void sale. Finally, the Second Amended Complaint sufficiently pleads a UCL claim

based on Defendants' alleged violations of California law and Plaintiff's resulting injury-in-fact, loss of property.

REQUESTS FOR JUDICIAL NOTICE

Defendants ask the court to take judicial notice of the following documents pursuant to Evidence Code section 452, subdivisions (c) and (h) and section 453:

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Exhibit A - Deed of Trust executed by Plaintiff and recorded on April 22, 2022, in the Los Angeles County Recorder's Office;

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Exhibit B - Notice of Default and Election to Sell Under Deed of Trust recorded on September 25, 2024;

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Exhibit C - Notice of Trustee's Sale recorded on January 3, 2025;

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Exhibit D - Trustee's Deed Upon Sale recorded on September 15, 2025;

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Exhibit E - Assignment of Deed of Trust recorded on June 26, 2024; and

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Exhibit F - Assignment of Deed of Trust recorded on September 15, 2025.

The court grants the request and takes judicial notice of the existence and recordation of all exhibits according to Evidence Code section 452, subdivision (c).

ANALYSIS

A. Demurrer

A party may respond to a pleading against it by demurrer based on one or more of eight enumerated grounds, including that “the pleading does not state facts sufficient to constitute a cause of action” and is uncertain, meaning “ambiguous and unintelligible.” (Code Civ. Proc., § 430.10, subds. (e), (f).) The grounds for demurring must be apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading “by raising questions of law.” (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) “In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law[.]” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.)

1. First Cause of Action: Violation of Civil Code section 2923.7

Plaintiff pleads her First Cause of Action against defendants Newrez and Wilmington.

To establish a violation of the Homeowner’s Bill of Rights (HBOR), the complaint must allege:

(1) defendant violated provisions of the HBOR; (2) plaintiff is a borrower who was harmed by the violations; and (3) defendant’s actions were a substantial factor in causing plaintiff’s harm. (*Valbuena v. Ocwen Loan Servicing, LLC* (2015) 237 Cal.App.4th 1267, 1272; CACI No. 4910.) The violation must be “material.” (*Valbuena, supra*, 237 Cal.App.4th at p. 1273.)

A mortgage loan servicer violates section 2923.7 of the HBOR if the servicer fails to assign a “single point of contact” (SPOC) upon receipt of a borrower’s request for a foreclosure prevention alternative and fails to provide the borrower one or more direct means of communicating with the SPOC. (Civ. Code, § 2923.7, subd.

(a.) The SPOC “is an individual or team of personnel responsible for . . . instructing the borrower on the procedures for seeking foreclosure-prevention alternatives, coordinating receipt of necessary documents from the borrower, and informing the borrower of the status of any foreclosure-prevention alternative.” (Billesbach v. Specialized Loan Servicing LLC (2021) 63 Cal.App.5th 830, 839, fn. 4; Civ. Code, § 2923.7, subd. (e).) The mortgage servicer must ensure that each member of the team is knowledgeable about the borrower’s situation and current status in the alternatives to foreclosure process. (Civ. Code, § 2923.7, subd. (e).) “The single point of contact shall remain assigned to the borrower’s account until the mortgage servicer determines that all loss mitigation options offered by, or through, the mortgage servicer have been exhausted or the borrower’s account becomes current.” (Civ. Code, § 2923.7, subd. (c).)

Pursuant to Section 2923.7, subdivision (b), the SPOC must: (1) communicate the process by which a borrower may apply for an available foreclosure prevention alternative and the deadline for any required submissions to be considered for these options; (2) coordinate receipt of all documents associated with available foreclosure prevention alternatives and notifying the borrower of any missing documents necessary to complete the application; (3) have access to current information and personnel sufficient to timely, accurately, and adequately inform the borrower of the current status of the foreclosure prevention alternative; (4) ensure that a borrower is considered for all foreclosure prevention alternatives offered by, or through, the mortgage servicer, if any; and (5) have access to individuals with the ability and authority to stop foreclosure proceedings when necessary.

The SPOC must be promptly assigned when the borrower requests a foreclosure prevention alternative. (Morris v. JPMorgan Chase Bank, N.A. (2022) 78 Cal.App.5th 279, 301-302; Civ. Code, § 2923.7, subd. (a).)

Newrez’s and the SPOC’s violation of Section 2923.7 are not material violations.

Although Section 2923.7 does not expressly state the

mortgage servicer must provide the name and contact information for the SPOC, the borrower must be provided with “one or more direct means of communication” with the SPOC “to prevent borrowers from being given the run around, being told one thing by one bank employee while something entirely different is being pursued by another.” (Civ. Code, § 2923.7, subd. (a); *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 904-905.)

Plaintiff alleges she repeatedly asked defendant Newrez for a loss mitigation application package in late June 2025 and early July 2025. (SAC ¶ 18.) On July 17, 2025, Plaintiff received a letter from Newrez, stating “A new Single Point of Contact (SPOC) has been assigned to assist you through the remainder of the loss mitigation process concerning your mortgage loan. Your SPOC will perform an evaluation of your financial condition and determine your eligibility for all alternatives that may be applicable for this account.” (Id. ¶¶ 19, 39.) But the letter did not state the SPOC’s name or contact information. (Id. ¶¶ 20, 40.) Plaintiff newly alleges she was unable to contact her assigned SPOC without the contact name or contact information and had no choice but to rely on Newrez’s representation that the SPOC would contact her. (SAC ¶ 42.) This demonstrates that Newrez failed to provide Plaintiff with a direct means of communicating” with the SPOC. Thus, Plaintiff adequately pleads Newrez violated HBOR.

Because neither Newrez nor the SPOC contacted Plaintiff by July 24, 2025, Plaintiff initiated a loss mitigation application that same day and submitted her monthly expense information through an unnamed “Defendant’s” website in order to obtain foreclosure assistance. (SAC ¶¶ 41, 43.) An unnamed defendant, presumably Newrez, confirmed receipt of Plaintiff’s information and application and stated the SPOC would contact Plaintiff. (Id. ¶¶ 22, 42.) Plaintiff was never contacted by the SPOC between July 24, 2025 and August 6, 2025 (the foreclosure sale) and was not advised on what additional materials were needed for her loss mitigation application. (Id. ¶ 43.) Based on this, Plaintiff alleged she never obtained a substantive review or determination of her July 24, 2025, application. (Id. ¶ 43.)

Plaintiff claims the above conduct materially violated

Civil Code section 2923.7, subdivisions (a), (b)(1), (b)(3), and (b)(5) and that these material violations deprived Plaintiff of her ability to apply for a foreclosure prevention alternative or seek legal redress such as a temporary restraining order or filing for bankruptcy, resulting in Plaintiff's home being sold at the foreclosure sale. (SAC ¶¶ 44-48.)

Plaintiff claims Newrez's violation of subdivision (a) was a material violation because the violation "directly interfered with Plaintiff's ability to apply for a foreclosure prevention alternative." (SAC ¶ 44.) "While Plaintiff attempted to mitigate the issue by submitting an application online, she was not directed by the SPOC to do so or provided information on what information was needed for the application to be considered complete ahead of the pending foreclosure sale." (SAC ¶ 44.)

Although neither Newrez nor the SPOC did not contact Plaintiff after sending the July 17th letter, Plaintiff was able to initiate a loss mitigation application and submit her monthly expenses information on July 24, 2025 through an unnamed Defendant's website. (SAC ¶ 21.) Newrez confirmed receipt of the information and stated the SPOC would contact Plaintiff, but no such contact ever occurred. (Id. ¶¶ 22, 45.) Nor did Newrez provide Plaintiff with further information. Without the name and contact information for the SPOC, Plaintiff was unable to affirmatively contact the SPOC to confirm the SPOC's receipt of her information or concerning the process by which she could apply for foreclosure prevention alternatives. As a result, Plaintiff's home was sold at the foreclosure sale which Plaintiff was unable to prevent. Despite the lack of contact information for the SPOC, it is unclear why Plaintiff did not contact Newrez directly as the foreclosure sale approached. Assuming Newrez and the SPOC were in direct communication, Plaintiff could have contacted Newrez concerning the SPOC's failure to contact her and requested that Newrez directly transfer her to the SPOC or provide the contact information at that moment in time. Thus, even though Plaintiff sufficiently alleges Newrez's failure to provide her with a "direct means of communication" with the SPOC violated Civ. Code, § 2923.7(a), the violation was not so material that it prevented Plaintiff from taking other steps to mitigate the looming foreclosure sale.

As stated above, subdivision (b)(1) requires the SPOC to "[c]ommunicat[e] the process by which a borrower may apply for an available foreclosure prevention alternative and the deadline for any required submissions to be

considered for these options.” (Civ. Code, § 2923.7, subd. (b)(1).) Here, Plaintiff’s allegations conflate her repeated requests to Newrez for “loss mitigation application materials” with an allegation that she submitted repeated request for “application materials necessary to apply for foreclosure prevention alternative.” (SAC ¶ 45.) Plaintiff received an automated response from Newrez concerning receipt of the loss mitigation application and that the SPOC would contact Plaintiff about the application. However, the SPOC never contacted Plaintiff or communicated the process and deadlines for foreclosure prevention. As a result of the SPOC’s violation of subdivision (b)(1), Plaintiff waited to hear from the SPOC, had no means of contacting the SPOC, failed to take foreclosure prevention steps, and Plaintiff’s home was sold at the foreclosure sale. As with Newrez’s violation of subdivision (a), the SPOC’s violation of Civ. Code, § 2923.7(b)(1) does not rise to the level of a material violation because Plaintiff could have contacted Newrez directly concerning the SPOC’s failure to contact her, learn the status of her application, and then sought other means to prevent the foreclosure sale. Thus, the SPOC’s violation of subdivision (b)(1) does not rise to the level of a “material” violation.

Next, subdivision (b)(3) requires the SPOC to “hav[e] access to current information and personnel sufficient to timely, accurately, and adequately inform the borrower of the current status of the foreclosure prevention alternative.” (Civ. Code, § 2923.7, subd. (b)(3).) Plaintiff alleges Newrez and the SPOC were on notice of the status of Plaintiff’s loss mitigation application based on the automated message. (SAC ¶ 46.) However, neither Newrez nor the SPOC “timely, accurately, and adequately” informed Plaintiff of the current status of the foreclosure prevention alternative or the status of her application, whether complete, incomplete, or not being considered due to the proximity to the foreclosure sale. (Id. ¶ 46.) The lack of communication led Plaintiff to believe that her application was in review and that she would “have an opportunity to be reviewed for a foreclosure prevention alternative” before the foreclosure sale. As a result, Plaintiff did not seek emergency legal action such as a bankruptcy or temporary restraining order. Although Plaintiff was not informed about the current status of the foreclosure prevention

alternative, the SPOC's violation of subdivision (b)(3) did not prevent her from seeking emergency legal action. If anything, Plaintiff's allegations suggest she was left in a sort of "limbo" concerning the status of her loss mitigation application and was unaware of her options other than awaiting contact from the SPOC and relying on information from defendant Prestige. Considering Plaintiff admits she initially contacted Newrez to concerning loss mitigation and foreclosure prevention and received communications from Newrez, Plaintiff could have contacted Newrez in order to learn the status of her application and to determine whether she should exercise her options to seek emergency legal remedies. Based on Plaintiff's allegations, the SPOC's failure to contact Plaintiff did not prevent Plaintiff from affirmatively seeking the necessary information or seeking other legal remedies before the foreclosure sale. Thus, Plaintiff fails to demonstrate the SPOC's violation of subdivision (b)(3) is material.

Finally, subdivision (b)(5) requires the SPOC to "hav[e] access to individuals with the ability and authority to stop foreclosure proceedings when necessary." (Civ. Code, § 2923.7, subd. (b)(5).) Plaintiff alleges in the alternative that the "SPOC failed to have access to individuals with ability and authority to stop the foreclosure proceedings." (SAC ¶ 47.) However, this is a conclusory statement which is not supported by the factual allegations in the SAC. Thus, this does not constitute a material violation of HBOR.

Because the SAC fails to adequately demonstrate that Newrez's and the SPOC's violations of Civ. Code, § 2923.7 were material violations of HBOR, Plaintiff cannot maintain her First Cause of Action against Newrez.

Furthermore, without adequately alleging a cause of action against Newrez, Plaintiff cannot state a claim of agency-based or vicarious liability against Wilmington, the principal and beneficiary of the Deed of Trust.

Therefore, the court sustains the demurrer to the First Cause of Action without leave to amend as to defendants Newrez and Wilmington.

2. Third Cause of Action: Wrongful Foreclosure

Plaintiff pleads her Third Cause of Action against defendants Newrez, VMC, and Prestige.

To demonstrate wrongful foreclosure, the plaintiff must allege: “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering; and (4) no breach of condition or failure of performance existed on the mortgagor’s or trustor’s part which would have authorized the foreclosure or exercise of the power of sale.” (Majd v. Bank of America, N.A. (2015) 243 Cal.App.4th 1293, 1306-1307 [internal citation omitted].) “To successfully challenge a foreclosure sale based on a procedural irregularity, the plaintiff must show both that there was a failure to comply with the procedural requirements for the foreclosure sale and that the irregularity prejudiced the plaintiff.” (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 950.)

There are five exceptions to the tender requirement: (1) when the borrower’s action attacks the validity of the underlying debt (since tender would constitute an affirmation of the debt); (2) when the person seeking to set aside the sale has a counterclaim or setoff against the beneficiary equal to or greater than the amount due; (3) when it would be inequitable to impose the tender condition on the party challenging the sale; (4) when the trustor is not required to rely on equity to attack the deed because the trustee’s deed is void on its face (such as where the original trustee had been substituted out before the sale occurred); and (5) the foreclosure sale has not yet occurred. (Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 112-115; Pfeifer v. Countrywide Home Loans, Inc. (2012) 211 Cal.App.4th 1250, 1280-1281.)

Plaintiff adequately alleges wrongful foreclosure as to defendant VMC.

Plaintiff alleges the foreclosure was illegal,

fraudulent, and oppressive because VMC was not the beneficiary of the deed of trust when the foreclosure sale occurred and had no authority to invoke the power of sale on August 6, 2026. (SAC ¶ 69.) According to Plaintiff, at the time of the foreclosure sale, defendant Wilmington, not defendant VMC, was the beneficiary of the Deed of Trust and the entity with the authority to invoke the power of sale. (SAC ¶¶ 4, 5.) However, VMC directed defendant trustee Prestige to conduct the foreclosure sale despite lacking authority to do so. (SAC ¶¶ 26, 68 [alleging VMC is listed as the foreclosing beneficiary of the August 6, 2025, foreclosure sale despite not being the beneficiary of the Deed of Trust]; RJN - Exh. D: Trustee's Deed Upon Sale executed September 11, 2025 [listing the Grantee (VMO REO, LLC) as the foreclosing beneficiary of the August 6, 2025, foreclosure sale]; RJN - Exh. F: Assignment of Deed of Trust executed August 26, 2025 [listing Wilmington transferring its interest as the beneficiary of the Deed of Trust to defendant VMO].) Based on the allegations and Defendants' exhibits, the court infers that Wilmington was the beneficiary of the foreclosure sale on August 6, 2025, and was the entity with authority to invoke the power of sale. Yet, the Trustee's Deed Upon Sale, dated September 11, 2025, identifies the Grantee (VMC) as the "Foreclosing Beneficiary" of the August 6, 2025 sale before Wilmington transferred its interest in the Deed of Trust to VMC. (Defendant's RJN - Exh. D.) This suggests the wrong foreclosing beneficiary was listed on the Trustee's Deed Upon Sale or the document was prematurely completed.

Based on these allegations, the August 6, 2025, foreclosure sale and the resulting Deed Upon Sale that was recorded on September 15, 2025, are void. If Prestige conducted the foreclosure sale at VMC's direction before VMC had authority to order the sale, this constitutes an illegal, fraudulent, or willfully oppressive sale. (SAC ¶ 70.) As a result, Plaintiff was prejudiced by suffering loss of her property. (Id.

¶¶ 71-72.) Because the foreclosure sale and resulting Deed Upon Sale are void due to VMC's lack of authority to direct Prestige to conduct the sale, Plaintiff alleges she is excused from tendering indebtedness. (SAC ¶ 75.)

Thus, Plaintiff adequately pleads wrongful foreclosure against defendant VMC.

Plaintiff

fails to adequately plead wrongful foreclosure as to Newrez.

In the alternative, Plaintiff

sues for a claim of damages under a negligence theory against Newrez: "Defendant NewRez had a duty of care to Plaintiff to ensure it complied with the statutorily mandated duties of a loan servicer assigned to service the loan of a borrower seeking a foreclosure prevention alternative. As demonstrated in her claim for violation of Civil Code § 2923.7 Defendant NewRez failed to uphold this duty of care. Thus, NewRez's failure to contact Plaintiff and provide timely, accurate, and adequate information regarding the foreclosure prevention alternative led Plaintiff to believe that her application was in review and that she'd have an opportunity to be reviewed for a foreclosure prevention alternative prior to a foreclosure sale. This failure prevented Plaintiff from seeking emergency legal action to stop the foreclosure sale, and Plaintiff ultimately lost her home to foreclosure."

(SAC ¶ 76(b).)

Although Newrez failed to provide a direct means of communication between Plaintiff and the SPOC, Plaintiff alleges no facts which demonstrate Newrez played a direct role in initiating foreclosure proceedings, conducting the foreclosure sale, or recording the resulting documents.

Thus, Plaintiff fails to allege wrongful foreclosure against defendant Newrez.

Therefore, the court overrules the demurrer to the Third Cause of Action as to defendant VMC.

The court sustains the demurrer to the Third Cause of Action without leave to amend as to defendant Newrez.

3. Fourth

Cause of Action: Violation of Business and Professions Code section 17200, et seq.

Plaintiff pleads her Fourth Cause of Action against all defendants.

California's Unfair Competition Law (UCL) prohibits

unlawful, unfair or fraudulent business practices. (Bus. & Prof. Code, § 17200, et seq.) To assert a UCL claim, a plaintiff must have suffered injury in fact and lost money or property as a result of the unfair competition. (See Bus. & Prof. Code, § 17204.) Unfair behavior under the UCL is behavior that is “immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.” (Bardin v. Daimlerchrysler Corp. (2006) 136 Cal.App.4th 1255, 1260.)

Plaintiff pleads her UCL violation under the “unfair” prong, asserting the practices are immoral, unethical, and oppressive and violate legislatively stated public policy and seeks injunctive relief, disgorgement of sums wrongfully obtained, costs of suit, and attorney fees. (SAC ¶¶ 79, 80, 85-87.)

A business practice is “unfair” if the challenged practice is “tethered to an underlying constitutional, statutory, or regulatory provision[]” or “threatens an incipient violation of an antitrust law, or violates the policy or spirit of an antitrust law.” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1365-1366.) The complaint must allege facts sufficient to show violation of the predicate law and resulting harm. (People v. McKale (1979) 25 Cal.3d 626, 635 [“Without supporting facts demonstrating the illegality of a rule or regulation, an allegation that it is in violation of a specific statute is purely conclusionary and insufficient to withstand demurrer.”].)

The Third Cause of Action serves as a predicate for Plaintiff’s Fourth Cause of Action as to defendant VMC. (SAC ¶ 79(a), (b).) Because Plaintiff fails to adequately allege the First or Third Causes of Action against defendant Newrez, Plaintiff lacks standing to bring her UCL claim against Newrez. Without the predicate First Cause of Action, Plaintiff also lacks standing to bring a UCL claim against defendant Wilmington.

To satisfy the standing requirements under the UCL, the complete must plead (1) loss or deprivation of money or property sufficient to qualify as an injury-in-fact and (2) show that the injury was caused by an unfair business practice. (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 323-324.) “At the pleading stage, general factual

allegations of injury resulting from the defendant's conduct may suffice." (Id. at p. 327.) The plaintiff fails to satisfy the causation

prong if they would have suffered "the same harm whether or not a defendant complied with the law." (Daro v. Superior Court (2007) 151 Cal.App.4th 1079, 1099.)

For a third time, Defendants cite Jenkins v. JP Morgan

Chase Bank, N.A. (2013) for the contention that "[a] borrower who defaults

on a loan before the default's alleged wrongful acts does not have standing to

sue under the UCL because the default caused the foreclosure proceedings." (Demurrer, at p. 17:1-12; 216 Cal.App.4th 497, 522-523.) Defendants' contention is again flawed. In Jenkins, the alleged injury was an

"impending foreclosure" based on Plaintiff's alleged default on a loan. The court found that Plaintiff had failed to satisfy the causation prong because she admitted that she was in default and the allegations demonstrated that she would have suffered the same harm – the impending foreclosure – regardless of any alleged misconduct which had occurred after plaintiff herself was in default.

Plaintiff alleges an economic injury of loss of money and

property resulting from Defendants' wrongful and unfair conduct. (SAC ¶ 84-85.) Plaintiff's allegations indicate she is in default because she fell behind on loan payments. (Id. ¶ 17.) However, the foreclosure sale has already occurred, and the Trustee's Deed Upon Sale was recorded on September 15, 2025. Thus, Plaintiff alleges VMC's wrongful foreclosure caused her economic injury. (Id. ¶¶ 79(a),(c), 83-87.)

Because Plaintiff has established her injury (loss of

property and equity in her property) was caused by defendant VMC and she seeks injunctive relief enjoining VMC's conduct (wrongful foreclosure resulting in receiving title to the property), disgorgement, or restitution, Plaintiff adequately alleges a UCL claim against VMC.

Therefore, the court overrules the demurrer to the Fourth

Cause of Action as to defendant VMC.

The court sustains the demurrer to the Fourth Cause of Action without leave to amend as to defendants Newrez and Wilmington.

CONCLUSION and ORDER

Demurrer to the Second Amended Complaint's

First Cause of Action is sustained without leave to amend as to defendants Newrez and Wilmington.

Demurrer to the Third Cause of Action is overruled as to defendant VMC and sustained without leave to amend as to defendant Newrez.

Demurrer to the Fourth Cause of Action is overruled as to defendant VMC and sustained without leave to amend as to defendants Newrez and Wilmington.

Defendants Newrez, Wilmington, and VMC to give notice.